

How School Finance Inequality Impacts Opportunity in America

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Abstract

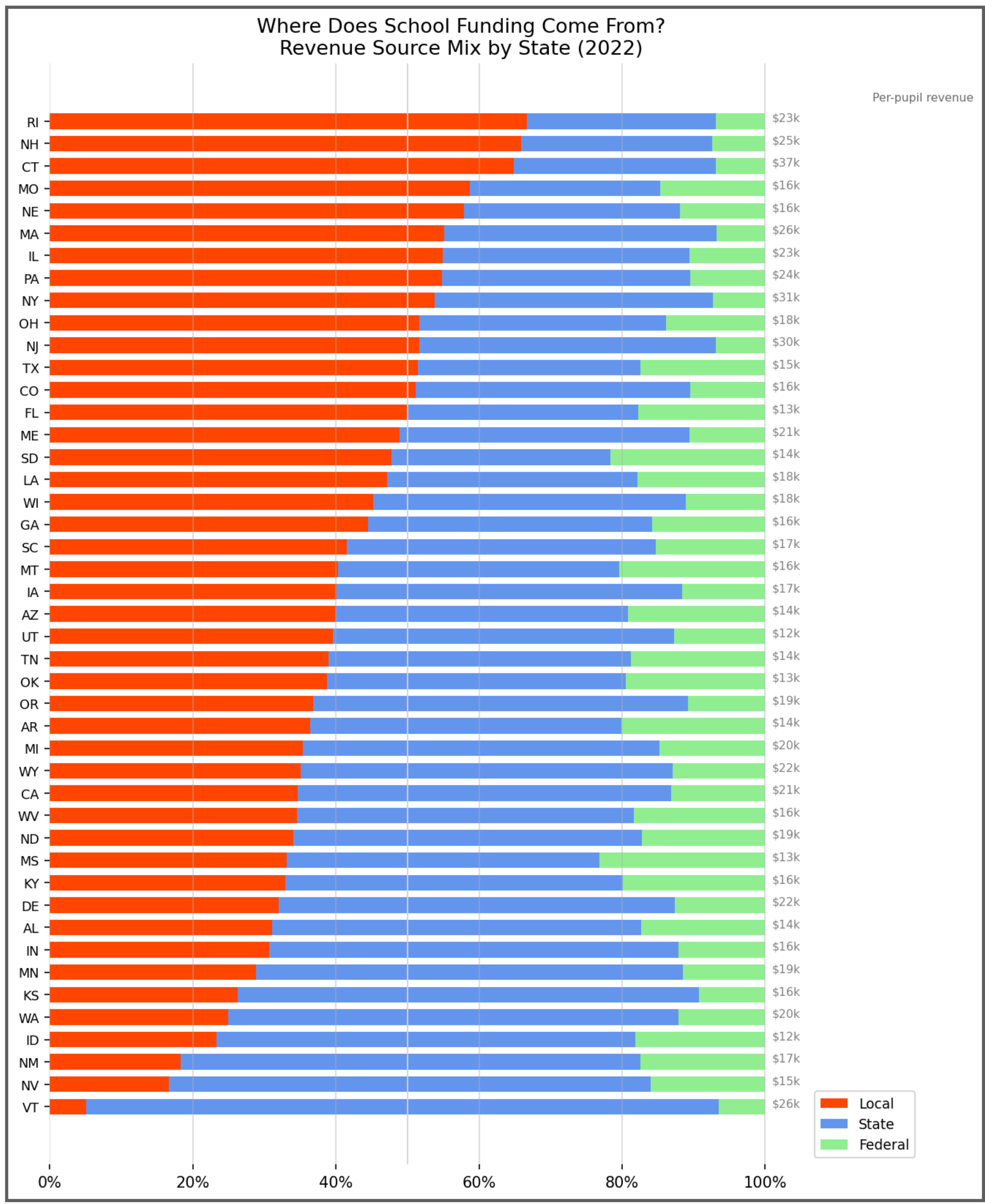
Introduction

U.S. public schools are funded by local, state, and federal sources. In many states, local property taxes play a major role. This means school funding often reflects district wealth, not student need. As a result, students in lower-funded districts may have fewer educational resources. This project examines how school funding varies across states and districts and what those gaps imply for equity.

Data Sources:

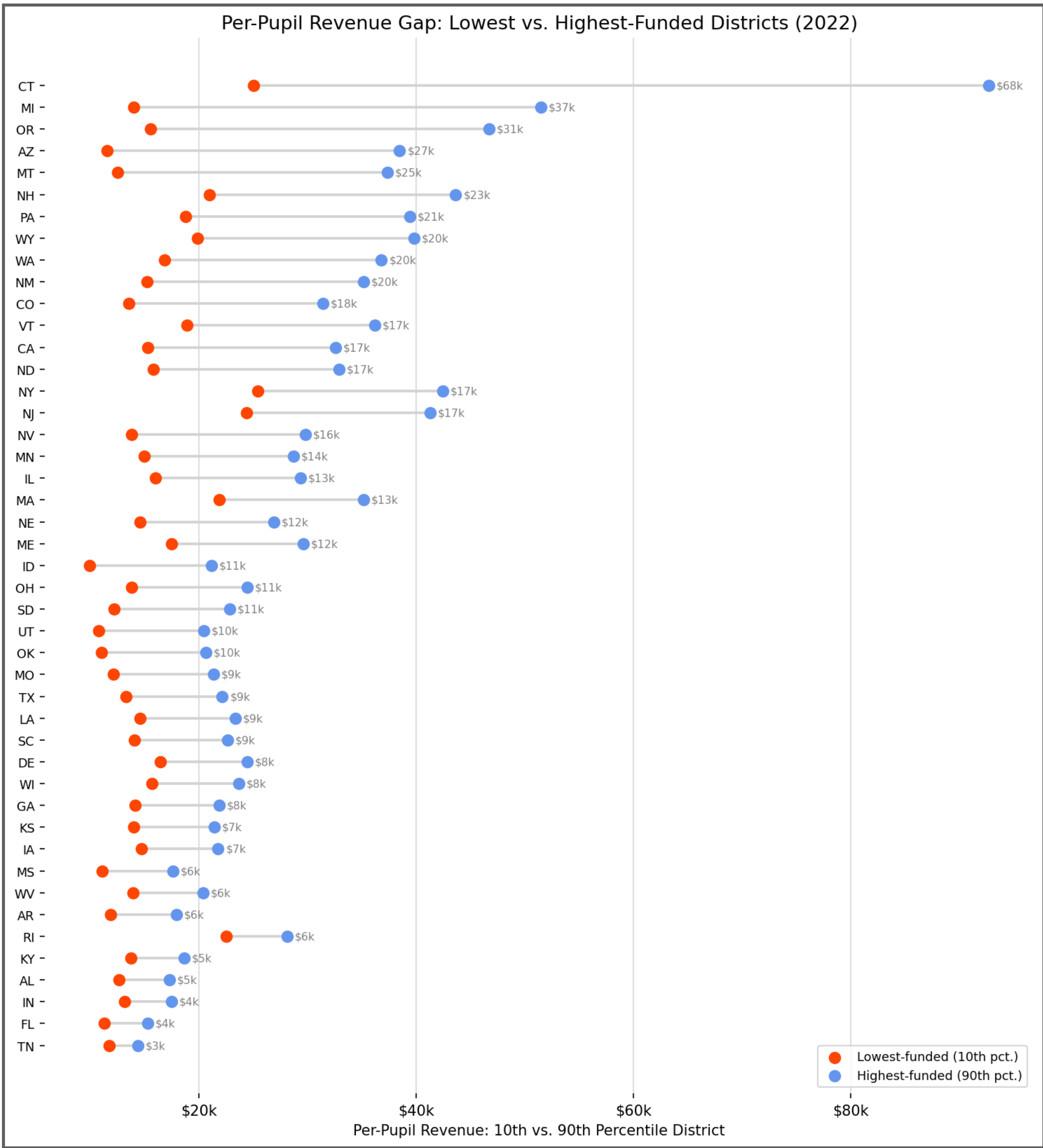
This analysis uses the U.S. Census Bureau’s School District Finance Survey (F-33) for the 2021–2022 school year, which provides detailed financial data for public school districts across the United States. A few key variables are the total district revenue, revenue by source (local, state, federal, Title I), student enrollment, and per-pupil funding measures.

Visualization 1: Revenue Source Mix by State



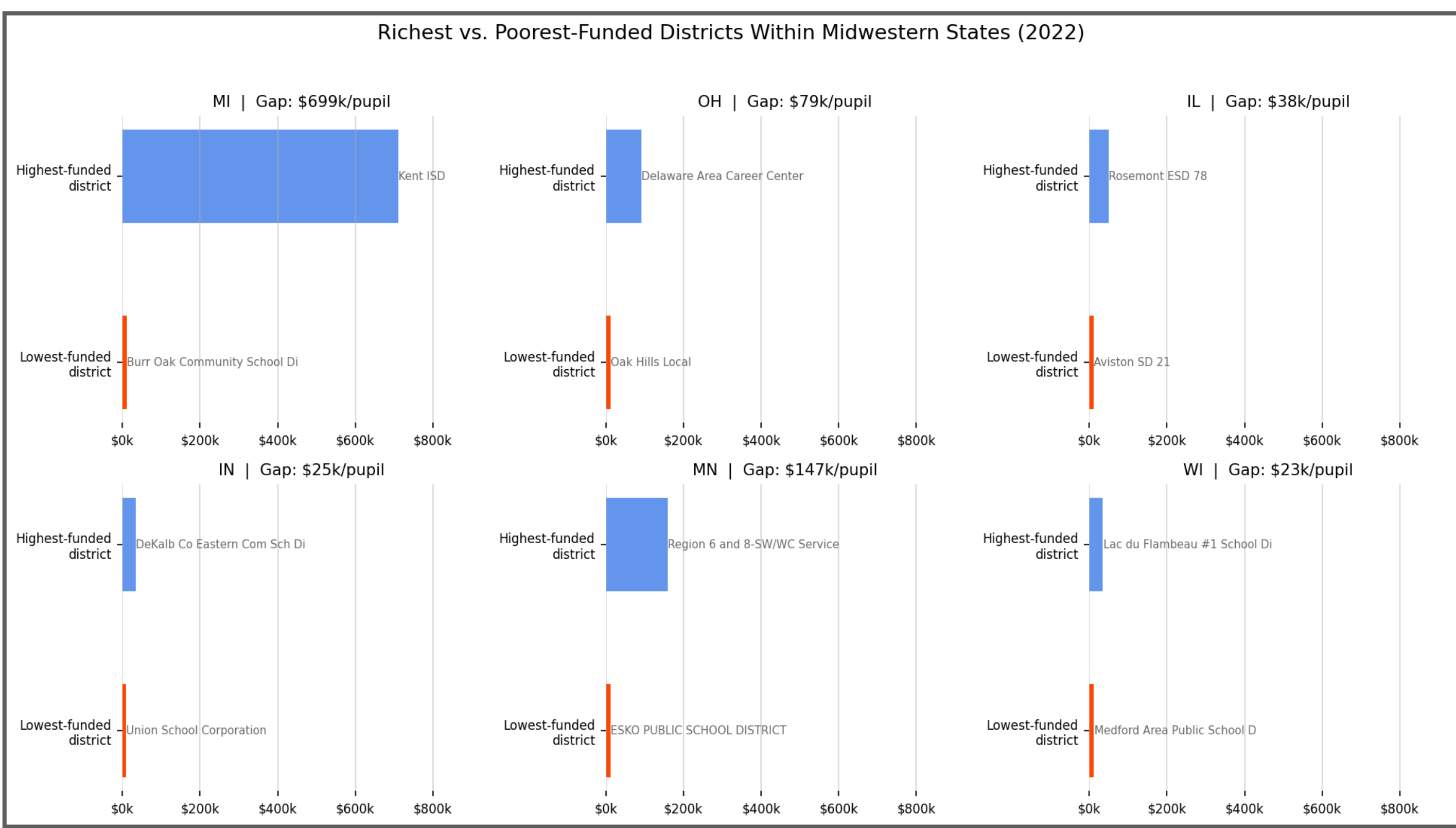
- States fund public schools through very different mixes of local, state, and federal revenue.
- The way school funding is structured varies across states. Local property taxes dominate in some states, creating the conditions for inequality!
- In some states, local funding makes up more than half of total school revenue.
- Heavy reliance on local property taxes ties school funding to district wealth.

Visualization 2: Per Pupil Revenue Gap



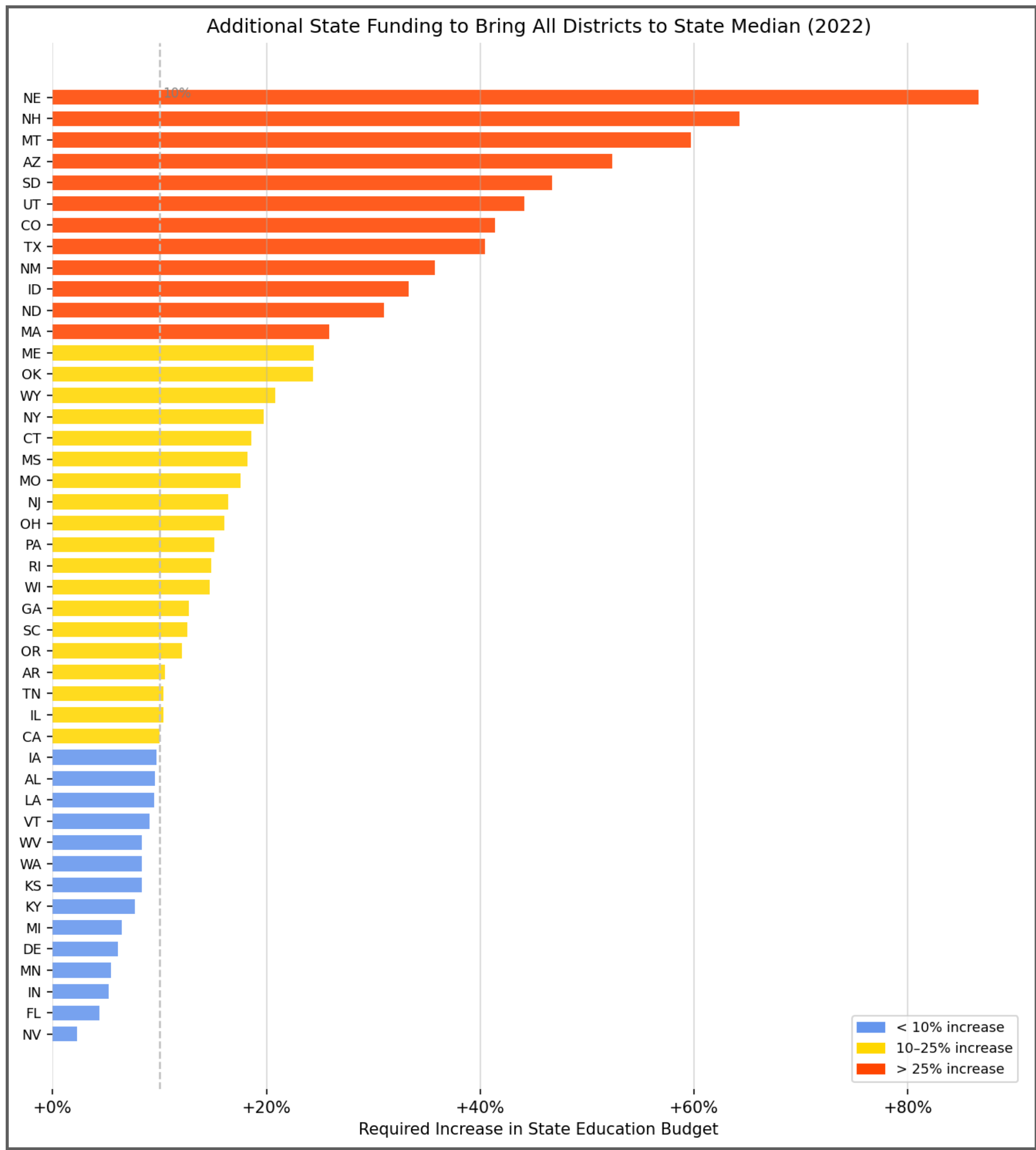
- Every state shows a clear gap between its lowest-funded and highest-funded districts.
- In several states, the difference is tens of thousands of dollars per student!
- Students can receive very different resources depending on their district.

Visualization 3: Richest vs. Poorest Funded Districts Within Midwest



- Funding gaps are not just abstract, they have impact on real districts!
- Even within the same region, some states show dramatic differences between their lowest- and highest-funded districts.
- In Michigan, for example, the gap between the richest- and poorest-funded districts is especially large.
- These within-state gaps reinforce the idea that school funding is shaped by local wealth and district boundaries, not just statewide policy goals.

Visualization 4: Cost of Equity



- In many states, bringing all districts up to the state median funding level would require a relatively modest increase in state education funding.
- Several states could reduce inequality with less than a 10% increase in state funding.
- This directly challenges the argument that school funding inequality is too expensive to address.
- State lawmakers have the ability to make funding systems more equitable through targeted increases in state support.

Conclusion and Key Findings

- Within states, school funding is highly unequal due to a heavy reliance on local property taxes/district wealth rather than individual student need.
- As such, students in lower-funded districts can have significantly less access to resources than students in higher-funded districts.
- Still, these gaps can reasonably be amended by a manageable increase in state funding!
- In every state, there is a decently significant gap between its lowest and highest funded districts.
- Even within one region, districts in that same state can receive dramatically different per-pupil funding.
- Many states can raise lower funded districts to the state median with a moderate increase in state education funding.

Call to Action:

States should reduce reliance on local property taxes and shift toward state-level funding formulas that equalize resources across districts. Policymakers must prioritize equitable funding systems that provide all students with a fair opportunity to succeed!